used in conducting market research for understanding the special needs of the customer. Digital and social media are used as a platform for advertising and promoting the products/services. Data-mining and data analytics are used to know the customer better. Technology is used in managing inventory, storing goods in warehouses, in distributing goods and in receiving payment. This dynamic environment also includes the following ;

1) the level of technology available within the country
2) rate of change in technology
3) technology adopted by competitors
4) technological obsolescence

VI. Global environment - With the rapid growth of technology the physical boundaries are fast disappearing and the new global market is emerging. The international environmental factors which affects a business are as follows;

1) Differences in language and culture
2) Differences in currencies
3) Differences in norms and practices
4) Differences in tastes and preferences of people
5) The tax structure relating to import and export.
6) Differences in the degree of adoption of technology.

19.03 Future environment of business-VUCA

The future environment of business in this age of rapid technological advancement has been captured aptly in the acronym VUCA – volatility, uncertainty, complexity and ambiguity, developed in the late 80's by the U.S military. Every business has to take strategic decisions.The dynamic ever changing environment, the unpredictability of various factors, the multiplicity of forces affecting business and the lack of clarity are the variables which affects business.

It is now important for every business to meet the challenges posed by the environment in order to remain competitive. The uncertain conditions and situations requires a firm to be prepared to face the volatility by planning. The presence of complex variables impacting business should be understood and alternative measures for solving the issues should be developed. In an VUCA environment a firm has to be forward looking anticipating the change, adaptability will remain essential for the success of any business in an ambiguous, uncertain environment.

19.04 Corporate Governance

Corporate governance is a set of rules and policies which governs a company. It provides a frame work for managing a company and achieving its objectives. It gives guidelines for internal control, performance measurement and corporate disclosure. Corporate governance lays down the rules and responsibilities of the stakeholders of a company primarily the shareholders, the directors and the management. The role of board of directors is very important in corporate governance. It is the board that provides the guidelines for the company and its other stakeholders including employees, customers, suppliers and financiers. Corporate governance is based on the four fundamental pillars of fairness, transparency, accountability and responsibility.

In India the Kumara Mangalam Birla Committee 2000, Narayana Murthy Committee 2003 , Adi Godrej Committee 2008, and presently Uday Kotak Committee were constituted to give a comprehensive framework for Corporate Governance. The present corporate governance norms, included in the Companies Act 2013, SEBI listing regulations and Clause 49 of the listing agreement are the outcome of discussion by these committees.

12th Commerce Unit 7.indd 159 12/12/2020 2:18:52 PM